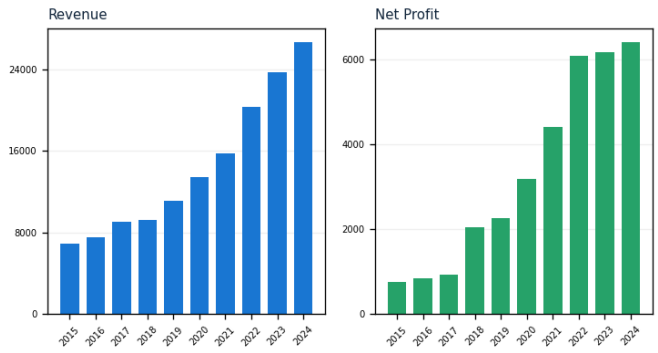
Indian Railway Finance Corporation Ltd

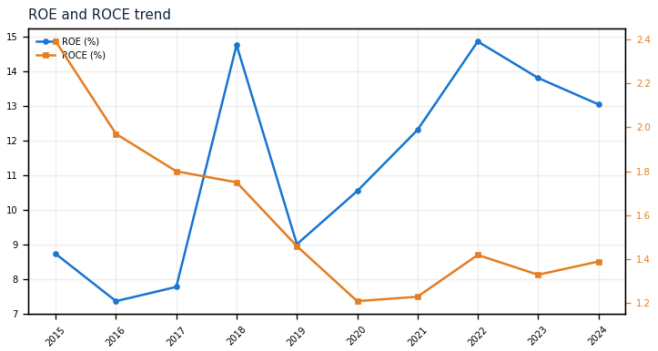
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ROE **13.04%**	ROCE **1.39%**	Revenue CAGR (5Y) **19.07%**
PAT CAGR (5Y) **23.25%**	Debt / Equity **8.38x**	Free Cash Flow **7,906.00 Cr**

Revenue & net profit (10Y)



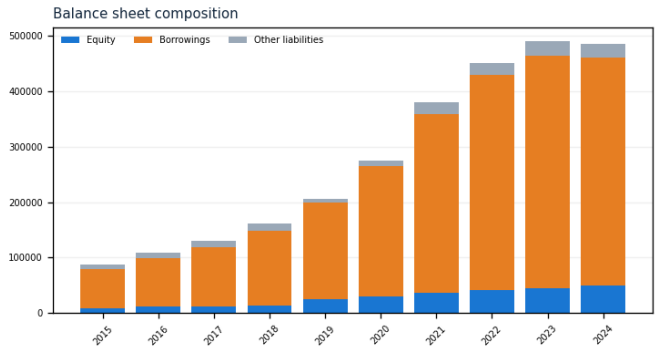
Returns (dual-axis)



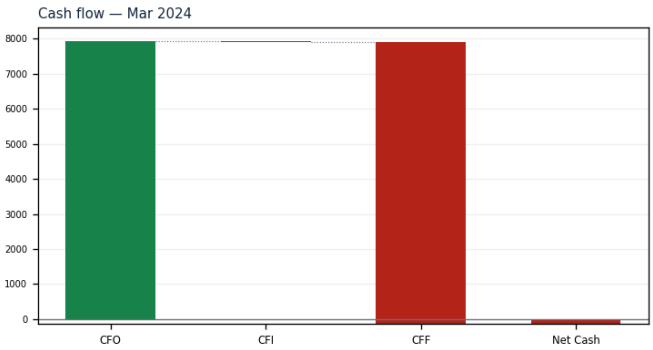
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Balance sheet



Cash flow waterfall



PROS

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits

CONS

- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

Capital Allocation | Reinvestor